life, from choosing an investment option to buying a house. Once you are familiar with the complicated forces at play you will understand why choice and change can be so intimidating.

A significant consequence of decision paralysis in financial decisions is that by deferring purchase you may miss the opportunity or run the risk of prices rising. Imagine there is a very good house for sale. You like it because it suits all your requirements and the price seems right. But you cannot decide and opt to see a few more houses. With multiple choices, a decision is difficult. As time passes another bidder enters the fray and you lose the opportunity. Because of decision paralysis you lost the house.

How often have you not seen a stock move up and regret you did not buy it when you could at a much lower price? Or, despite professional advice to sell before the prices crashed you missed the opportunity because you could not take a decision on time. Most times missed opportunities are a result of our inability to decide at the appropriate time. Today, there are a large number of investment options available in the capital markets. With over 7000 stocks listed on the stock exchanges and a battery of mutual funds offering varied investment options decision-making becomes that much harder.

Taking Decisions

We have to understand that deciding not to take a decision is also a decision. When we take a decision we give ourselves a chance to move from the present comfort zone. Once we do that we have a 50-50 chance of going right or wrong. If we choose not to take a decision we miss this chance of going right. Maintaining a status quo in times of continuous change is definitely unwise. Another way of looking at decision paralysis is that it is a natural human tendency to resist change.

The reasons we don't take decisions are:

- fear of going wrong